

Topic Mini-Tests - Answers

Mini-Test 1: Business and its Environment

1. Land, labour, capital, enterprise. 2. Selling price - cost of bought-in materials. 3. The benefit of the next best alternative given up. 4. Primary, secondary, tertiary, quaternary. 5. Limited = losses limited to amount invested; unlimited = owner personally liable for all debts. 6. Proven idea/brand recognition; training/support (lower risk). 7. Horizontal, vertical backward, vertical forward, conglomerate. 8. Specific, Measurable, Achievable, Realistic, Time-limited. 9. Internal: owners, managers, employees. External: customers, suppliers, government, community. 10. Profit (economic), people (social), planet (environmental).

Mini-Test 2: Human Resource Management

1. $(\text{Number leaving} / \text{average number employed}) \times 100$. 2. Job description = duties/responsibilities; person specification = skills/qualities of the ideal candidate. 3. Redundancy = job no longer exists (not worker's fault); dismissal = ended due to conduct/performance. 4. Induction, on-the-job, off-the-job. 5. Physiological, safety, social, esteem, self-actualisation. 6. Hygiene: pay, conditions, supervision, security. Motivators: achievement, recognition, responsibility, advancement. 7. Motivation = expectancy $\times$ instrumentality $\times$ valence. 8. Any four: time-based wage, salary, piece rate, commission, bonus, profit sharing, PRP, fringe benefits. 9. Autocratic, democratic, laissez-faire, paternalistic. 10. Theory X assumes staff are lazy and need control; Theory Y assumes staff enjoy work and seek responsibility.

Mini-Test 3: Marketing

1. $(\text{Firm sales} / \text{total market sales}) \times 100$. 2. $(\text{Change in market size} / \text{original size}) \times 100$. 3. Product orientation = product-led then find buyers; market orientation = research needs first then produce. 4. Geographic, demographic, psychographic. 5. Primary = new first-hand data; secondary = existing data collected by others. 6. Product, Price, Promotion, Place. 7. Development, introduction, growth, maturity, decline. 8. Star, cash cow, question mark (problem child), dog. 9. Penetration = low price to enter/gain share; skimming = high initial price then lower. 10. Recognition/loyalty/premium price/differentiation (any one).

Mini-Test 4: Operations Management

1. Total output / number of employees. 2. $(\text{Actual output} / \text{maximum output}) \times 100$. 3. Job, batch, flow, mass customisation. 4. Capital-intensive relies mainly on machines; labour-intensive relies mainly on workers. 5. Raw materials, work in progress, finished goods. 6. Buffer = minimum safety stock; re-order level = stock level triggering a new order; lead time = time between ordering and receiving. 7. JIT = little/no stock, arrives when needed; JIC = holds buffer stock just in case. 8. No time for maintenance; staff stress; quality may fall; cannot meet extra orders (any two). 9. Increase demand/marketing; reduce capacity; subcontract; cut price (any two). 10. Benefit: lower cost/specialist skills. Drawback: less control over quality/reliability.

Mini-Test 5: Finance and Accounting

1. Current assets - current liabilities. 2. Cash = money available now to pay bills; profit = revenue - total costs over a period. 3. Capital expenditure = on non-current assets (long-term); revenue expenditure = day-to-day running costs. 4. Internal: owner's investment, retained earnings, sale of assets. External:

share capital, bank loan, overdraft, leasing, trade credit, crowdfunding (any three). 5. Opening balance + net cash flow. 6. Fixed costs do not change with output; variable costs change with output. 7. Contribution = selling price - variable cost per unit; break-even = fixed costs / contribution per unit. 8. Actual output - break-even output (how far sales can fall before a loss). 9. Incremental, flexible, zero-based. 10. Favourable = actual better than budget (higher revenue/lower cost); adverse = actual worse than budget.